

FEDERAL MARITIME COMMISSION

DOCKET NO. 24-15

**NETCYCLE TRADING CORP., *REVOCATION OF OCEAN TRANSPORTATION
INTERMEDIARY LICENSE NO. 021597NF***

**REPLY BRIEF OF THE
BUREAU OF ENFORCEMENT, INVESTIGATIONS, AND COMPLIANCE**

I. INTRODUCTION

This is a license revocation proceeding where the primary issue is whether an ocean transportation intermediary's (OTI) license should be revoked due to the felony criminal conviction related the business of serving as an OTI, failures to notify the Bureau of Certification and Licensing (BCL) of material changes, and a lack of the necessary character to render OTI services. Based on the facts presented herein, revocation is clearly warranted by the Shipping Act of 1984 (Shipping Act), Federal Maritime Commission (FMC or Commission) regulations, and established legal precedent.

Netcycle's Response indicates that it does not dispute the underlying factual bases for revocation put forward by BCL.¹ Despite that, the Respondent argues that the circumstances do not warrant a license revocation and instead requests the Commission allow Ms. Ledesma to fully

¹ Netcycle Trading Corporation Response of May 31, 2024 at 2. ("Netcycle does not seek to dispute that Netcycle's listed President, Secretary and Qualifying Individual (QI) Ms. Nadia Ledesma, was indicted as alleged by the BOEIC [sic]. Further, there is no dispute that as Netcycle's President, Ms. Ledesma took personal responsibility for the issues that occurred in her business and, in order to resolve the matter expeditiously, agreed to plead guilty to a single count. Ms. Ledesma thereafter resigned her position as President with Mr. Carlos Ledesma Jr., her stepson, took over as President of Netcycle while Ms. Ledesma took a position as Director to assist Mr. Ledesma Jr. and ensure Netcycle maintained a QI. See Exhibit A. There is also no dispute that Ms. Ledesma failed to report the matter to the FMC under a mistaken belief that it was unnecessary.") [hereinafter Response]

divest herself of ownership and appoint Mr. Ledesma Jr. as the new Qualified Individual (QI) in her stead.

In its recounting of the facts to support this request, however, Respondent minimizes both the level of wrongdoing committed by Ms. Ledesma and the depth of the involvement of Netcycle in that criminal misconduct. This approach is consistent with Ms. Ledesma's similarly misleading March 13 letter to the Commission that downplayed her and her company's role. These omitted details are important in explaining why revocation is the appropriate remedy and are explored in more detail hereafter.

BEIC Exhibit 7, attached below, provides Ms. Ledesma's factual proffer supporting her guilty plea and outlines the scope of her criminal activity. That proffer and the additional facts surrounding Ms. Ledesma's conviction are then buttressed by relevant case law to show that revocation is undoubtedly the appropriate remedy - regardless of any future withdrawal of Ms. Ledesma from Netcycle.

II. PROCEDURAL HISTORY

On March 8, 2024, BCL issued a Notice of Intent to Revoke the OTI license of Netcycle. On March 19, 2024, pursuant to the Commission's regulations at 46 C.F.R. §§ 515.17 and 502.702, Netcycle submitted a timely request for a hearing to the Office of the Secretary. On March 21, 2024, the Commission issued a Notice of Hearing Request and Assignment transmitting this matter to the Office of Administrative Law Judges (OALJ). On March 22, 2024, the presiding Administrative Law Judge (ALJ) issued a Notice and Initial Order (Initial Order) advising BEIC's Office of Enforcement (OE) of Netcycle's request for a hearing and OE's resulting obligation to provide to the ALJ and Netcycle a copy of BCL's Notice of Intent to Revoke and a copy of BCL's materials supporting the Notice. OE filed these documents and served them on Netcycle in

accordance with the established deadline on April 16, 2024. Respondent's May 16 deadline to file a response came and passed with no submission of documents by the Respondent.

On May 21, 2024, the Office of Administrative Law Judges emailed the Respondent to determine if the Respondent intended to file any response in this matter. Later that afternoon, Counsel for the Respondent responded to the email and indicated that Respondent intended to do so. Respondent's Motion for Acceptance of Late Filing was filed on May 31, 2024. OE filed an Opposition to Respondent's Motion for Acceptance of Late Filing on June 5, 2024. The ALJ granted Respondent's Motion to Accept the Late Filing on June 12, 2024 and gave OE a July 2, 2024 deadline to respond.

III. PROPOSED FINDINGS OF FACT

PFF 1. Netcycle is a Florida Corporation incorporated in 2006. BEIC Exhibit 6. BEIC044.

PFF 2. Netcycle maintains its principal offices at 8020 NW 67 St., Miami, FL 33166. BEIC Exhibit 6. BEIC044

PFF 3. Netcycle has been licensed to operate as an OTI pursuant to FMC license no. 021597NF since May 13, 2008. BEIC Exhibit 6. BEIC042.

PFF 4. Ms. Nadia Ledesma was the president, secretary and Qualifying Individual from the initial filing and remains so listed in Netcycle's FMC filed documents. BEIC Exhibit 6. BEIC046.

PFF 5. From April 2015 to 2018, Ms. Nadia Ledesma participated in a criminal conspiracy to export stolen outboard motors. BEIC Exhibit 7. BEIC057.

- PFF 6. Ms. Ledesma's husband and former co-owner and Netcycle warehouse manager, Carlos Ledesma, was also charged in the conspiracy. BEIC Exhibit 7. BEIC057.
- PFF 7. A third unnamed Netcycle employee also participated in the conspiracy. BEIC Exhibit 7. BEIC057-058.
- PFF 8. Evidence seized pursuant to a search warrant executed at Netcycle's corporate offices shows that Carlos and Nadia Ledesma used Netcycle to export nearly 600 stolen outboard engines over the course of the conspiracy. BEIC Exhibit 7. BEIC059.
- PFF 9. Netcycle emails, office phones, employees, warehouse, and office spaces all were used in furtherance of the conspiracy. BEIC Exhibit 7. BEIC060-061.
- PFF 10. Netcycle records indicate that the company charged nearly \$500,000 for shipping services related to the stolen engines. BEIC Exhibit 7. BEIC061.
- PFF 11. While serving as president and QI of Netcycle, Nadia Ledesma personally aided in the creation of, or did herself directly create, falsified shipping forms and invoices for Netcycle files that were ultimately submitted to U.S. Customs and Border Protection to hide the illicit nature of the stolen goods. BEIC Exhibit 7. BEIC062.
- PFF 12. Ms. Ledesma herself received at least \$48,064.79 as proceeds from the offense. BEIC Exhibit 7. BEIC061.

- PFF 13. On June 21, 2022, Ms. Ledesma was indicted on charges of conspiracy to export stolen vessel parts and to smuggle goods from the United States. BEIC Exhibit 2. BEIC008-011.
- PFF 14. On or about March 10, 2023, Ms. Nadia Ledesma entered into a signed agreement pleading guilty to a charge of participating in a conspiracy with other employees of Netcycle to export stolen outboard motors in violation of 18 U.S.C. § 371. BEIC Exhibit 5. BEIC034
- PFF 15. On or about May 23, Ms. Ledesma pled guilty to conspiracy to export stolen boat engines and parts. BEIC Exhibit 3. BEIC025.
- PFF 16. On or about May 23, 2023, the U.S. District Court for the Southern District of Florida issued a judgment imposing a prison sentence of 18 months and restitution in the amount of \$420,668.47. BEIC Exhibit 5. BEIC 035, BEIC039
- PFF 17. On approximately May 24 of 2023, Ms. Ledesma resigned as president of Netcycle in favor of her stepson, Mr. Carlos Ledesma Jr. Netcycle Exhibit A, p.5.
- PFF 18. At no time after June 21, 2022, did Netcycle notify the Commission that its QI, secretary, and president had been indicted on felony charges. Netcycle Exhibit A, p. 2.
- PFF 19. At no time after May 23, 2023, did Netcycle notify the Commission that its QI, secretary, and president had been convicted of a felony. Netcycle Exhibit A, p. 2.
- PFF 20. On March 8, 2024, BCL issued a Notice of Intent to Revoke Netcycle's OTI license, in accordance with 46 C.F.R. § 515.16 due to Ms. Ledesma's plea

agreement and conviction while serving as the president and QI of Netcycle and Netcycle's failure to report the pending criminal charges against Ms. Ledesma or her later conviction. BEIC Exhibit 1. BEIC004-005.

IV. ARGUMENT

A. Factual Background to Ms. Ledesma's Conviction

In support of her guilty plea to violating 18 U.S.C. § 371, Ms. Ledesma's factual proffer avers that from April 2015 to June 2018, she willfully participated in a criminal conspiracy to export stolen outboard motor engines and falsified export documentation related to the shipments in the process.² One of the primary co-conspirators in this endeavor was her husband – then co-owner and warehouse manager of Netcycle – Carlos Ledesma.³ At the time, Netcycle also employed a third, unnamed, co-conspirator in this crime.⁴ Evidence seized pursuant to a search warrant show that during the relevant period, Carlos and Nadia Ledesma used Netcycle to export almost 600 stolen outboard engines.⁵

Netcycle's email, office phone, employees, warehouse, and office spaces all played a role in the furthering of the criminal conspiracy.⁶ Netcycle records indicated that the company charged nearly \$500,000 for exporting the stolen engines.⁷ In furtherance of this conspiracy and to hide the illicit nature of the stolen goods, Nadia Ledesma aided in the creation of, or herself directly created, falsified shipping forms and invoices for Netcycle files that were ultimately submitted to U.S.

² Factual Proffer for Defendant's Change of Plea, *United States v. Nadia Esperanza Ledesma*, United States District Court Southern District of Florida (March 10, 2023) at 1. [Hereinafter Proffer]. This document is attached as BEIC Exhibit 7. BEIC PFF 5.

³ Proffer at 1-2. BEIC PFF 6.

⁴ Proffer at 2. BEIC PFF 7.

⁵ Proffer at 3. BEIC PFF 8.

⁶ Proffer at 3-5. BEIC PFF 9.

⁷ Proffer at 5. BEIC PFF 10

Customs and Border Protection.⁸ Ms. Ledesma herself received at least \$48,064.79 as proceeds from the offense.⁹

Far from taking personal responsibility for the issues that occurred in her business, as Respondent asserts in its Response,¹⁰ Ms. Ledesma has chosen to massively downplay her role in the conspiracy telling the Commission in her request for this proceeding that:

I, Nadia Ledesma as former president of Netcycle Trading, had a lack incident in handling of control and security over business confidential information, allowing to an ex-employee who worked in this company during 12 years and for the trust that was created by long time, had access to logins and passwords, emails, company paperwork with our name and logo as invoices, certifications, transport documents, resulting in her fired. Was found by our attorneys and law enforcement agencies during investigation, that she used our business confidential information and company records for unlaw purposes. At date still her own legal case remains open, restricting any additional information or details, limited to inform that after she was fired from Netcycle, was hired by another cargo company, but it resulted for that business with a same legal issue as we got. Unfortunately for us, the damage was already done and as principal officer of corporation I assumed the responsibility in my fault, although this meant in personal legal consequences and loss my position as president of the company that I founded and which during many years I've worked hard to keep it running.¹¹

Netcycle Request for Hearing at 1. In contrast to the representations she made to the U.S. District Court while facing criminal charges, Ms. Ledesma has suggested to this Commission that she merely offered herself up and “assumed responsibility.” She went so far as to characterize the crime as being a lack of “control and security over business confidential information,” at least implying that the crime largely occurred without her knowledge. This, based on Ms. Ledesma’s own previous statements, is at least a grossly misleading characterization of events, if not an outright lie.

⁸ Proffer at 6. BEIC PFF 11.

⁹ Proffer at 5. BEIC PFF 12.

¹⁰ Netcycle Exhibit A at 2.

¹¹ Document number 1, Docket no. 24-15, at 1.

B. Legal Standard for Licensure and Revocation and Burden of Proof

The Shipping Act at 46 U.S.C. § 40901 governs the licensing of OTIs. Specifically, 46 U.S.C. § 40903(a), provides in relevant part that the Commission:

. . . after notice and opportunity for hearing, shall suspend or revoke an ocean transportation intermediary's license if the Commission finds that the ocean transportation intermediary – (1) is not qualified to provide intermediary services; or (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission.

The Commission's implementing regulations provide that a license may be revoked or suspended for the following reasons:

- (1) *Violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;*
- (2) Failure to respond to any lawful order or inquiry by the Commission;
- (3) Making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license;
- (4) *A Commission determination that the licensee is not qualified to render intermediary services; or*
- (5) Failure to honor the licensee's financial obligations to the Commission.

46 C.F.R. § 515.16(a), emphasis added.

Each applicant for an OTI license must be initially qualified by “experience and character” to act as an ocean transportation intermediary, and each licensee must continuously maintain the qualifications of integrity, good character, technical OTI expertise, and financial responsibility thereafter as a condition of license retention. 46 C.F.R. §§ 515.16, 515.11(a)(1–2). In determining whether a prospective licensee is qualified, the Commission may consider “[v]iolations of any shipping laws, or statutes relating to the import, export, or transport of merchandise in international trade;” and “state and federal felonies and misdemeanors.” 46 C.F.R. § 515.11(a)(2). Under 46

C.F.R. § 515.20(e), criminal indictments and convictions of licensees, QIs, or officers are also required to be reported to the Commission.

A party alleging a violation of the Shipping Act has the burden of proof to establish the violation. *See John T. Barbour, et al. – Possible Violations of Section 8 and 19 of the Shipping Act of 1984*, 2016 FMC LEXIS 1, *12; *see also* 5 U.S.C. § 556(d); 46 C.F.R. § 502.155 (establishing that a proponent of a rule or order has the burden of proof.). OE, as the proponent of an order revoking the license of Netcycle, has the burden of proof or persuasion. *See Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). Thus, OE must prove its case by a preponderance of the evidence. *Portman Square Ltd. – Possible Violations*, 28 S.R.R. 80, 84 (ALJ 1998). A preponderance of the evidence means that the evidence makes the existence of a fact more probable than not. *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 15 (ALJ 1991).

C. Bases for Revocation - Criminal Conviction Related to the Business of an OTI, Disqualification by Character and Fitness, and Failure to Abide by Commission Regulations

While Netcycle does not appear to contest the bases for revocation, given OE has the burden of proof, it is worth laying those arguments out in explicit detail. Ms. Ledesma violated statutes directly relating to the carrying on of the business of an ocean transportation intermediary by conspiring to export stolen goods and therefore has met the grounds for revocation under 46 C.F.R. § 515.16(a)(1). BEIC PFF 8, 12. Netcycle, too, failed to inform the Commission of Ms. Ledesma's indictment and later conviction as it was required to do by 46 C.F.R. § 515.20(e), itself a qualifying violation of the Commission's regulations under 46 C.F.R. § 515.16(a)(1). BEIC PFF 18-19.

The Commission's Bureau of Certification and Licensing further determined that these same actions rendered Ms. Ledesma, and Netcycle, no longer qualified to provide intermediary services under §515(a)(4) due to:

actions that [she] took to facilitate conspiracy to export stolen vessel parts and to smuggle goods were to cause false and fraudulent bills of sale and invoices to be created and used which purported to document the sale of outboard engines and parts to others in Mexico. [She] falsely and fraudulently represented prices in the bills of sale and invoices that were fictitious and caused [electronic export information] to be submitted to the United States based on fraudulent bills of sale and invoices.

BEIC Exhibit 1, March 8, 2024. These actions are clearly within the realm of factors that the Commission is entitled to consider when making an OTI qualification determination under 46 C.F.R. § 515.11(a)(2). The facts also show Ms. Ledesma has now made materially misleading statements to the Commission about her level of culpability in the acts described above, itself a reason to question the integrity and character necessary to maintain a license.

Likely recognizing that Ms. Ledesma would be unable to overcome the facts justifying revocation, Netcycle has instead suggested that the Commission should be satisfied by Ms. Ledesma's offer to separate herself from the company completely. However, as discussed below, Netcycle is too intimately tied with the criminal conduct of Ms. Ledesma and other former company employees, and Ms. Ledesma is too involved in Netcycle post-conviction, for Netcycle to be allowed to continue to operate as a licensed entity with the Federal Maritime Commission.

D. Imputing Individual Bases for Revocation to Netcycle

The Commission's regulations hold OTIs "fully responsible for the acts and omissions of any of its employees and agents that are performed in connection with the conduct of the ocean transportation intermediary's business." 46 C.F.R. § 515.4(b)(3). More explicitly, where an employee is acting within the scope of their employment and with the intent to benefit the

company, the Commission has held that company is liable for the employee's criminal violations in a license revocation proceeding. *In Re: Revocation of Ocean Transportation Intermediary License No. 017843 – Washington Movers, Inc.*, 1 F.M.C. 2d 5, 15 (FMC 2018) [hereinafter *Washington Movers*]. Actions of presidents of companies are broadly interpreted to be within the scope of their employment given their discretion over business operations.¹² *Washington Movers*, 1 F.M.C. 2d, at 14.

Respondent's cited case, *Washington Movers*, is instructive. In that case, a company president committed felonies relating to the international export of illegal goods. *Id.* at 6. He committed those felonies using company property and company employees. *Id.* He loaded the containers with the goods, arranged for their transport and generally operated within the traditional business model of his company in pursuing the illegal behavior. *Id.* at 6,14. Because the behavior occurred within that traditional business model, the Commission considered his conduct a "continuation or escalation of, not a departure from, the work he performed [as president of the company]," and accordingly concluded that he was working for the benefit of his company while committing his criminal acts. *Washington Movers*, at 14-15. This determination stood even though the president also benefitted from the illegal behavior in his personal capacity. *Id.* at 14.

The parallels between *Washington Movers* and the case at hand are striking. Ms. Ledesma, while president of Netcycle, conspired to commit a felony with fellow Netcycle employees. BEIC PFF 5-8. That felony involved the illegal export of stolen goods. BEIC PFF 8. Ms. Ledesma admitted to the coconspirators using company property in multiple steps of the facilitation of the crime. BEIC PFF 9. While the exports were illegal, they appear to have fallen in line with

¹² See also, *United States v. Carter*, 311 F.2d, 934, 942 (6th Cir. 1963) (imputing criminal responsibility to corporation based on conduct of president because president, as "chief executive officer" had the "general supervisory authority that attends such office" and because "[a]side from his implied authority as president, he was, in fact, the one who ran the company").

Netcycle's general business model as an exporter of goods. BEIC PFF 10. While Ms. Ledesma personally profited from the crime, Netcycle also charged nearly \$500,000 for the services rendered relating to the shipment of the stolen goods. BEIC PFF 10. If the crimes committed by the president in *Washington Movers* were attributed to his company, there is no reasonable argument that Ms. Ledesma's should not also be ascribed to Netcycle.

E. Weighing the Revocation Factors

After determining that the criminal misconduct could be attributed to the company in *Washington Movers*, the Commission outlined factors that it would consider in weighing whether revocation was the appropriate sanction. The Commission looked at the nature and extent of the company's misconduct giving rise to the revocation, the good faith of the corporation and the likelihood of complying with Commission regulations in the future, and the character of the new leadership and association with the criminally convicted former leadership. *Washington Movers*, 1 F.M.C. 2d, at 20.

The Commission found that conduct at issue weighed heavily in favor of revocation because the criminal conduct "cut[] to the core of ocean transportation intermediary services." *Id.* The Commission further noted that while failure to report a conviction of the principal on its own would not warrant revocation, it was indicative of "ignorance or disregard of Washington Movers' regulatory obligations." *Id.* at 20-21. The Commission noted that the presence of the new owner and president, her lack of involvement in the prior criminal conduct, and her extensive efforts to keep the company's shipping obligations during the turmoil surrounding the former president's arrest all mitigated against revocation.

"Tipping the scales" in favor of revocation, however, was the former president's continued involvement with the company after his arrest and after control had purportedly been transferred

to the new president and owner. The former president continued to work for the company and serve as an “integral part of the business.” *Id.* at 21. Under those facts, the Commission could not “assume that he would remain uninvolved with Washington Movers in the future.” *Id.* Paired with the “egregious conduct” of the former president committed through his company, the Commission found that revocation of the license was the appropriate sanction. *Id.*

The conduct at issue here is a strong parallel to the criminal conduct the FMC found to be “egregious” in *Washington Movers* in that it involved a felony level crime that goes to the very core of providing OTI services. BEIC PFF 5-8. This must weigh heavily in favor of revocation. Like *Washington Movers*, Netcycle also neglected its regulatory obligations by failing to inform the Commission of Ms. Ledesma’s indictment and conviction.¹³ BEIC PFF 18-19. Netcycle has similarly shown itself unable to meet Commission deadlines even in the filing of its response in this proceeding. These too weigh in favor of revocation.

With respect to Ms. Ledesma’s continuing involvement, and with some irony, Respondent cites *Washington Movers* in an attempt to create contrast to the facts at hand suggesting that “Ms. Ledesma fully intends on a complete divestiture of ownership and the transfer of QI to Mr. Ledesma Jr. . . .”¹⁴ and therefore has distinguished, or, more accurately, will distinguish, herself from the facts of *Washington Movers*. Far from distinguishing the cases, Netcycle has taken even fewer preliminary steps in distancing itself from its criminal principal than *Washington Movers* had when those proceedings began. Prior to the initiation of proceedings, the criminally convicted principal of *Washington Movers* resigned as president *and* fully divested himself from ownership of the

¹³ Though the record is ambiguous on this point, the apparent removal of Mr. Carlos Ledesma from his ownership interest in Netcycle is itself potentially reportable under 46 C.F.R. §515.20(e) depending on his previous stake in the corporation.

¹⁴ It is also unclear why the steps proposed by Netcycle could not have been taken at the same time that Ms. Ledesma resigned as president. Netcycle, for example, has argued that Ms. Ledesma intends to name her stepson as the qualified individual in addition to his current role as president. Netcycle Exhibit A, at 3.

company. While he did keep working in the company in a significant capacity after his divestiture and resignation, he did not keep himself on the board as a director as Ms. Ledesma has with Netcycle. And, in addition to her continuing role as director and Qualified Individual, Ms. Ledesma still apparently maintains her ownership stake in Netcycle. BEIC PFF 4.

Ms. Ledesma has had more than a year since her conviction to divest herself from ownership and file an application for FMC approval of a replacement QI. BEIC PFF 16. She has shown that she at least knows how to remove herself from a position of authority on paper by transferring the president role within Netcycle to Mr. Ledesma Jr. the day after her conviction. BEIC PFF 17. Despite this, she remains on the board, in ownership, and has provided no evidence that she has begun the processes of transfer Netcycle asserts she would ultimately undertake. BEIC PFF 4. The Commission should treat these claims of an intent to commence a rapid turnover of authority and ownership with some suspicion given Ms. Ledesma's apparently continuing vital role to the organization¹⁶ long after she has given up the title of company president to her stepson, Mr. Carlos Ledesma Jr.¹⁷ BEIC PFF 17. Ms. Ledesma's apparent efforts to downplay her criminal involvement should also give the Commission pause.¹⁸ All these factors weigh in favor of revocation.

To respond directly to Netcycle's proposal, it ultimately does not matter what Ms. Ledesma's continuing role, or lack thereof, with Netcycle is. If the grounds for revocation are supported by Ms. Ledesma's criminal conduct, a fact seemingly uncontested by Netcycle and

¹⁶ In its Motion for Acceptance of Late Filing, Respondent asserted that Ms. Ledesma's overwhelming workload and health issues prevented Netcycle from retaining counsel and/or meeting their filing deadline. *Motion for Acceptance of Late Filing*, (May 31, 2024).

¹⁷ Like the new president in *Washington Movers*, there is no evidence in the record that Mr. Ledesma Jr. was involved with the criminal wrongdoing. Unlike the new president in *Washington Movers*, however, the record is devoid of any efforts undertaken by Mr. Ledesma to take corrective action the wake of Ms. Ledesma's wrongdoing.

¹⁸ Revocation has also been found appropriate when the Commission can no longer rely upon the honesty and integrity of the licensee or its principals to the extent necessary to ensure future conduct within the confines of the statute and regulations. *AAA Nordstar Line Inc. Revocation of License No. 12234*, 29 S.R.R.663, 664 (FMC 2002).

overwhelmingly supported by the evidence, those same grounds support the revocation of Netcycle's license given Ms. Ledesma's continued role with the company post-indictment and conviction and Netcycle's intimate involvement with her criminal conduct in this case. The fact that Netcycle has shown a questionable ability to comply with other Commission regulations and deadlines only emphasizes the appropriateness of revocation in these circumstances.

V. CONCLUSION

For all the foregoing reasons, OE respectfully requests that the presiding ALJ uphold the March 8, 2024 determination of BCL, pursuant to 46 C.F.R. § 515.16, to revoke Respondent's OTI license. OE further requests that Respondent be directed to cease and desist all OTI activities.

Respectfully submitted,

Julie L. Berestov, Director
Jonathan Todd, Trial Attorney
Grace Lee, Trial Attorney
Office of Enforcement
Bureau of Enforcement,
Investigations, and Compliance
Federal Maritime Commission
800 North Capitol St., N.W.
Washington, D.C. 20573-0001
(202) 523-5783
jberestov@fmc.gov
jtodd@fmc.gov
glee@fmc.gov

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing document was served upon Respondent via electronic mail this 27th day of June 2024.

Jonathan Todd